

PUBLIC VERSION

CONFIDENTIAL MATERIALS

EXCLUDED

Docket No. 16-02

RESPONDENT'S OPPOSITION TO

COMPLAINANT'S MOTION FOR SUMMARY JUDGMENT

THE FEDERAL MARITIME COMMISSION
800 North Capitol Street, NW, Washington, D.C.

D. F. YOUNG, INC.,	Complainant,
v.	
NYK LINE (NORTH AMERICA) INC.,	Respondent.

DOCKET NO. 16-02

RESPONDENT'S OPPOSITION TO COMPLAINANT'S
MOTION FOR SUMMARY JUDGMENT

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THE FEDERAL MARITIME COMMISSION
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DOCKET NO. 16-02

**RESPONDENT'S OPPOSITION TO
COMPLAINANT'S MOTION FOR
SUMMARY JUDGMENT**

ARGUMENT

POINT 1

[REDACTED]

1. DFY bases its forwarder compensation claim on a tariff rule (Tariff NYKS-156, Tariff Rule 9) even though the underlying shipments moved under non-tariff service contracts. *DFY's Motion*, pp. 18-19, 23.
2. Tariff Rule 9 makes no reference to service contracts. Its applicability is expressly limited to "tariff rate(s)." *See, NYK's Motion*, App. RX-26.

3. [REDACTED]

4. Therefore, to win a summary decision, DFY has to prove that the *only* reasonable interpretation of Tariff Rule 9 is one that grants forwarder compensation to service contract as well as tariff moves. See, F.R.Civ.P. 56(a); *United Mine Workers of Am. 1974 Pension v. Pittston Co.*, 984 F.2d 469, 473, Part II, first para. (D.C. Cir. 1993).
5. As explained in POINTS 1-3 below, and in NYK's Motion, construing Tariff Rule 9 as applicable to service contract shipments is contrary to the Rule's express language, and such an interpretation is patently *unreasonable*.
6. Unless DFY can defeat NYK's showing *as a matter of law*, no further inquiry is needed and DFY's summary decision motion should be denied.

POINT 2

[REDACTED]

7. [REDACTED]
[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

8. In arguing that Tariff Rule 9 applies to service contracts, DFY does not (and cannot) rely solely on the Rule’s express language. DFY’s Motion ignores the fact that Tariff Rule 9 explicitly limits forwarder compensation to the “tariff rate” while making no reference to service contract rates. *See, DFY’s Motion, p. 3, paras. 2-4; RX-26.*

9. [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

■ [REDACTED]

[REDACTED]

[REDACTED]

■ [REDACTED]

[REDACTED]

[REDACTED]

■

10. [REDACTED]

[REDACTED]

■ [REDACTED]

■ [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

A. [REDACTED]

11. As explained below, a regulated service provider must strictly adhere to any required tariff governing rates, terms, and conditions of service.

12. While tariff language might be *interpreted* like the language of a contract, [see, *DFY's Motion*, p. 16, para. 40], its *legal effect* is different. A tariff required by regulatory statute is more than a consensual contract. It has the force of law with the analogous dignity of a statute. *State of Israel v. Metro. Dade County, Fla.*, 431 F.2d 925, 928 (HN.2) (5th Cir. 1970).
13. Being more than a contract, a tariff exclusively controls the rights and liabilities of the parties as a matter of law. *MCI Telecom. Corp. v. Best Tel. Co.*, 898 F.Supp. 868, 872 (HN.6) (S.D.Fla. 1994) (Citing cases).
14. The unambiguous, express language of a tariff cannot be avoided by relying on ordinary principles of equity or contract law. See, e.g.:
- *State of Israel*, supra, 431 F.2d at 428 (HN.1) (“As with taxes, we start with the proposition that morality, equity or the invidious reflex of each has no part in tariff application.”);
 - *Gilbert Imported Hardwoods, Inc. v. 245 Pkgs.*, 508 F.2d 1116, 1120 (HNs.1-2) (5th Cir. 1975) (F.M.C. tariff is not an ordinary contract. It binds both carrier and shipper with the force of law. Custom and usage cannot be used to interpret a tariff).
 - *Capitol Transp., Inc. v. U.S.*, 612 F.2d 1312, 1324-25 (HN.13) (1st Cir. 1979) (Tariffs are considered binding and in essence carry the force of law—refusing to find that carrier conduct amounted to a waiver of lien where the waiver was not provided for in the applicable tariff rule).
15. Moreover:

The Commission has repeatedly held that tariff provisions should be construed reasonably, and without a strained or unnatural construction. *Furthermore, tariff interpretation is governed by the ‘express language’ of the tariff, not the ‘unexpressed intent’ of the author.*

See, *S.A. Chiarella v. Pacon Expr.*, 2001 WL 1085424, *3 (F.M.C. 2001) (Citations omitted) (Emphasis added). That has to mean, as well, that any post-publication beliefs or opinions of a carrier about the meaning of its tariff are similarly ineffective if that meaning is not also found in the tariff's express language.

16. There is nothing in the express, unambiguous language of Tariff Rule 9 [RX-26] to suggest it might apply to service contract shipments. See, *NYK's Motion*. So, under the rules of construction that apply to all documents, DFY's 'admissions' argument should fail.

- See, e.g.: *Parker v. John Moriarty & Associates*, 189 F.Supp.3d 38, 42, 43 (main text at HNs. 2, 8) (D.D.C. 2016) (Unambiguous written language prevails over subjective intent of the parties; and contract is not ambiguous simply because parties disagree on its interpretation).
- See also, *Keogh v. Chicago & N.W. R. Co.*, 260 U.S. 156, 163 (1922) (The rights as unambiguously defined by a tariff cannot be varied or enlarged by any contract of the carrier).

17. Were the rule otherwise, the tariff system would be unworkable as the meaning of tariff rules would be in constant flux, changing from shipper to shipper, depending on who said what to whom, and on how much of what could be proven. That would be directly contrary to one of the purpose of OSRA. See, OSRA, 46 U.S.C. 40101(1).

18. If Tariff Rule 9 were somehow ambiguous on the issue of its applicability to service contracts, the parties might be having a different discussion. However, DFY has attempted no such showing.

19. So, where, as here:

- (a) A carrier is required by statute to include in its tariff the level of compensation to be paid a forwarder [OSRA, 46 U.S.C. 40501(b)(3)]; and
- (b) The forwarder is prohibited by regulation from accepting compensation from a common carrier which is “different from that *specifically* provided for in the carrier’s effective tariff(s)” [46 C.F.R. 515.42(d)] (Bracketed text ours); and
- (c) The tariff rule governing forwarder compensation is specific and unambiguous [*see, NYK’s Motion for Summary Decision*], then

no post-publication statement by carrier personnel, or opinion of its “legal team,” is effective to change the tariff rule’s plain meaning.

B. [REDACTED]

20. NYK’s defense has *never* been that DFY had a right to compensation under Tariff Rule 9 that was somehow disqualified or waived in the Ford Service Contracts.

See, DFY’s Motion, pp. 26-28.

21. NYK’s defense is that Tariff Rule 9 explicitly limits forwarder compensation to “tariff rate(s)” thus giving no right to compensation for service contract shipments where the service contract does not contractually incorporate that Tariff Rule. *See, NYK’s Motion, App., RX-24.*

22. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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24. [REDACTED]
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POINT 3

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[REDACTED]

25. [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

26. [REDACTED]
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[REDACTED]

[REDACTED]

[REDACTED]

27.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

28. Third, the law in respect of tariff shipments has always been historically consistent. An individual carrier is free to pay or not pay forwarder compensation as it sees fit. *See, NYK's Motion, paras, 27-30; see, also:*

- "Agreements and Practices Pertaining to Brokerage and Related Matters" (No. 657) 3 U.S.M.C. 170 (1949)
 ("Nothing herein is to be construed as a directive that individual carriers must pay brokerage *A carrier should be free within limits to pay brokerage or not as its individual managerial discretion dictates.*") (Emphasis added).
- "Practices and Agreements of Common Carriers by Water in Connection with Payment of Brokerage" (No. 831) 7 F.M.C. 51 (1962)
 ("Congress accordingly consented to the payment of brokerage but did not see fit to require a carrier to make such payment and it set no rate therefor if paid. The language Congress employed in the statute (section 44(e)) is that a carrier "may compensate" a forwarder. *The forwarders themselves concede that this is permissive, at least as to the individual carrier, who they admit is free to compensate a forwarder or not* (assuming of course the statutory conditions for payment are met).") (Emphasis added).

29. We find no law to suggest that service contract shipments impose any greater forwarder compensation obligations on carriers than their tariff counterparts.

30. [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

POINT 4

EVEN IF RULE 9 IS HELD APPLICABLE TO SERVICE CONTRACTS AS A MATTER OF LAW, DFY'S SUMMARY DECISION MOTION MUST STILL BE DENIED BECAUSE IT HAS NOT PROVEN AS A MATTER OF LAW [REDACTED]
[REDACTED]

31. Assuming the ALJ determines that NYK Tariff Rule 9 obligates NYK to pay forwarder compensation on service contract shipments, then this becomes a tariff case and DFY must show compliance with 46 C.F.R. 515.42 which governs carrier compensation to forwarders.

32. Reg. 515.42(c) sets forth “the required services that entitle [the forwarder] to compensation.” The forwarder must show that it “in fact, has performed [these] services” to get paid. (Bracketed text ours). Those services are:

- (1) Engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard a vessel or confirmed the availability of that space [*id. at* subpara. (c)(1)]; AND
- (2) Prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment. *Id. at* subpara. (c)(2).

No other services are compensable. See, 46 C.F.R. 515.42(c, d).

[REDACTED]

33. [REDACTED]

[REDACTED]

■ [REDACTED]

■ [REDACTED]

■ [REDACTED]

■ [REDACTED]

[REDACTED]

[REDACTED]

34. In the *long term*, DFY alleges no part in the negotiation or execution of the Ford Service Contracts. *RX-083 :17 to RX-084:11: RX-085:17-20: RX-210:3-25.*

35. In the *short term*, DFY had no involvement in the allocation or confirmation of vessel space under those Service Contracts.

(i) Long Term

36. In *American Union Transportation, Inc. v. River Plate & Brazil Conferences* (No. 758) 5 F.M.B. 216 (1957), a conference *received a contract* for the transportation of locomotives *directly from the purchaser* with no forwarder to play matchmaker. In denying the forwarder's claim for reparation as brokerage, the Board wrote:

Clearly, on this record, [the forwarder] *did not secure cargo* for the ship. On the contrary, it is apparent that *the transportation was sold directly by the conference [the carrier]*, and that [the shipper] *reserved* to itself the right to select the individual carrier in every instance.

Id. at 223 (Emphasis added) (Bracketed text ours) *aff'd* 257 F.2d 607 (D.C. Cir.) cert. den. 358 U.S. 828 (1958).

37. [REDACTED]
- [REDACTED]

38. [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

39. DFY does not allege that it selected NYK, or that it was responsible for bringing the two together to generate the continuing service contract business, or that it was involved in the negotiations or making of the Ford Service Contracts. *RX-083:17 to RX-084:11; RX-085:17-20.*

(ii) Short Term

40. [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
41. [REDACTED]
- [REDACTED]
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42.

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[REDACTED]

43. To qualify as a party admission, a word or deed must be contrary to or inconsistent with the party's litigation position. E.g., *Cox v. Esso Ship. Co.*, 247 F.2d 629, 632 (HN.1) (5th Cir. 1957). That is not the case here. All the Tariff Rule 9 amendment does is to eliminate forwarder compensation in respect of *tariff* shipments of automobile cargoes. It reads:

Please receive this notice that effective November 2, 2016, NYK will no longer be paying freight forwarder compensation for shipments of Auto Manufacturers Cargo, pursuant to the attached amended tariff NYKS-156 (Rule #009). *RX-71*.

NYK's Motion for Summary Decision, App. RX-67. See also, para. 27, above.

44. Since Rule 9 limits forwarder compensation to "tariff rates," the shipments for which forwarder compensation will not be paid are all tariff shipments. The amendment does not mention service contract moves, so there is no in contradiction or inconsistency with NYK's litigation position.

B. [REDACTED]

[REDACTED]

45. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

46. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

47. [REDACTED]
[REDACTED]
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[REDACTED]

48. In any event, those acts did not add value for the carrier as required by Reg. 515.42(e). *L. Braverman & Co. v. Lykes Bros.*, 21 F.M.C. 372, 376-77(ALJ 1978).

(ii) [REDACTED]

49. As to bill of lading processing, the word “process” suggests a series of functions or actions to generate or produce a certain result. See, *Black’s Law Dictionary*, p. 1205 (6th ed. 1991).
50. Giving the word “process” its plain ordinary meaning, merely checking for errors in the bills of lading and printing them out do not equate with carrying out the terms of the bills or putting them into effect.
51. Even if we assume that the purely secretarial acts of checking for errors and hitting “PRINT” somehow qualify as processing, those acts did not add value for the carrier as required by Reg. 515.42(e) and *L. Braverman*, *supra*, at p. 376-77. More important:
- (a) The remote printing arrangement was for the convenience of Ford, not NYK, so it was a service DFY performed for the shipper, Ford, and not for the carrier. *RX-090:14 to RX-092:10; RX-109:13 to RX-114:10*. And
- (b) DFY was compensated for its PRINT services by Ford. *RX-113:7 to RX-114:2*.

52. Any doubt about whom DFY was acting for in printing the bills of lading is resolved by looking at the NYK/DFY Power of Attorney—a Power that DFY had to have in order to remotely print NYK Line bills of lading. *RX-063-067*. The Power of Attorney recites that:

- (a) DFY was providing freight forwarding services for Ford. No mention is made of providing services to NYK. [*2nd WHEREAS*]
- (b) In entering into the Power of Attorney, DFY acted on Ford's behalf pursuant to DFY's own power of attorney with Ford. [*Cl. 2*]
- (c) The bills of lading were to be created by NYK, then transmitted to DFY for printing at Ford's facility, [*Cl. 3*]
- (d) DFY was not permitted to alter or add to the bills of lading prepared by NYK without NYK's permission. [*Cl. 3*].

NYK's Motion, App. RX-63 to RX-66.

C. OTHER CLAIMED "FREIGHT FORWARDING SERVICES"

53. Historically, there has always been concern that forwarder compensation, if unregulated, leads to prohibited practices such as rebates. The reason has to do with the different kinds of services a forwarder offers

54. There are two categories of services that a freight forwarder can perform.

- (a) The first category are those rendered *to its shipper/customer*. A non-exclusive list of 13 such services is set out at Reg. 515.2(h). These services are:

... billed by an ocean freight forwarder *to a shipper, consignee, seller, purchaser, or an agent thereof*.

Id. (Emphasis added).

- (b) The second category are services rendered *for the carrier*. These are set out at OSRA, 46 U.S.C. 40904(a) and Reg. 515.42(c). The forwarder may be compensated by the carrier for those services if the carrier's tariff specifically provides for it. Reg. 515.42(b-d).

55. A forwarder is *not* entitled to tariff compensation *from a carrier* for any of the many services the forwarder renders *to its shipper clients*. See: 515.2(h); *L. Braverman*, *supra*, 21 F.M.C. at 374-77.

A freight forwarder has no right to "automatic" collection of brokerage payments from carriers simply by virtue of having a long-standing pre-existing connection with the cargo or having provided a long series of freight forwarder service to the shipper on such cargo.

Id. at 376.

56. Moreover, to be entitled to compensation from the carrier, the forwarder's services for the carrier must add value. Reg. 515.42(e); *L. Braverman, supra*, at

pp. 376-77 (It is the value of the services *to the carrier* that triggers the right to compensation, not the series of forwarder services provided *for the shipper*).

57. Absent its express inclusion in Reg. 515.2(h), a test for determining whether a forwarder function is rendered for the shipper or rendered for the carrier is the one set out in the *American Union* case. If the forwarder does not perform the function, would its performance fall to the shipper or the carrier? *American Union*, 5 F.M.B., supra, at 223. If to the shipper, then it is not compensable by the carrier. We will refer to this as the “*American Union Test*.”
58. When a carrier’s compensation payment to a forwarder fails the *American Union Test*—in other words, when payment is for services that benefit the shipper—it amounts to an unlawful rebate.

The present regulations (46 CFR § 244.13) prohibit forwarders from receiving brokerage in cases where payment thereof would constitute a rebate, or from sharing any part of the brokerage [with a shipper or consignee. All parties of record recognize that the direct or indirect payment by a carrier to a shipper of any portion of the ocean freight charges would constitute an unlawful rebate in violation of section 16 of the Act.

* * *

It is now well settled that the performance by a freight forwarder of forwarding services free of charge to the shipper, and the concurrent receipt by the forwarder of brokerage from the carriers for handling of the shipments constitutes an indirect rebate to the shipper.

"Investigation of Practices, Operations, Action, and Agreements of Ocean Freight Forwarders" (Nos. 765 and 831) 6 F.M.B. 327 350-51, 360 (1961); see also, *American Union Transportation*, supra, 5 F.M.B. at 222, 223 (Forwarder

brokerage payments which included costs of forwarding services rendered to shipper was an illegal rebate).

59. [REDACTED]
[REDACTED]
[REDACTED]

60. [REDACTED]
[REDACTED]

[REDACTED]	
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
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61. [REDACTED]

[REDACTED]

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POINT 5

[REDACTED]

62. [REDACTED]

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63. [REDACTED]

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CONCLUSION

64. The former Federal Maritime Board expressed great concern about the potential for indirect rebates inherent in paying unearned brokerage to forwarders who have done “little or no work.” See, “Investigation of Practices,” etc. 6 F.M.B. at 352 (1961).
65. In this case, having not shown its entitlement to compensation under Tariff Rule 9; and having done nothing to comply with Reg. 515.42(c)(1), and [REDACTED] [REDACTED] to comply with subpara. (c)(2), DFY is far removed from the traditional role of freight forwarders and has rendered no services (much less services adding value) for NYK to justify forwarder compensation.

DFY’s motion should be denied.

Dated: White Plains, NY, January 31, 2017

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